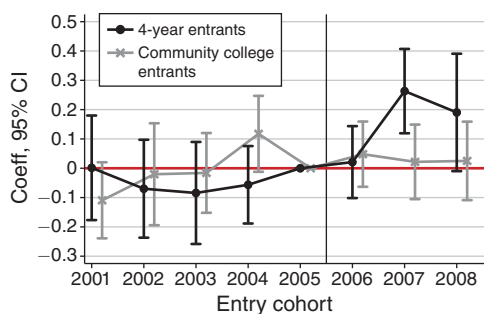


Panel A. Four-year college enrollment



Panel B. Community college enrollment

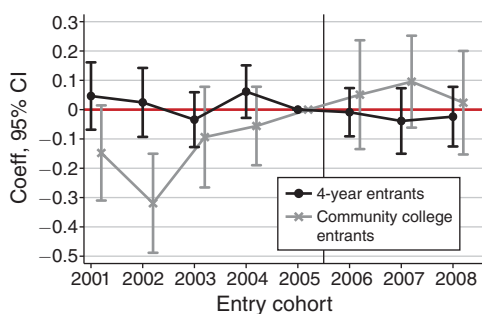


FIGURE 4. EFFECTS OF LOAN LIMIT INCREASES ON CUMULATIVE YEARS OF ENROLLMENT TEN YEARS AFTER ENTRY

Notes: The sample includes student borrowers who first enrolled in a public higher education institution in Texas as dependent students and borrowed at or below the federal Stafford Loan maximum for first-year students. The figures show coefficients and 95 percent confidence intervals from regressions of cumulative years of enrollment in the 10 years after college entry on the interaction between being constrained at entry and entry cohort (with 2005 serving as omitted category), estimated separately for community college entrants (light gray lines and markers) and four-year public college entrants (black lines and markers). All specifications also include an indicator for being constrained at entry; cohort entry year fixed effects; entry school fixed effects; and controls for URM, age at entry, EFC at entry, in-state student, fall entrant, and gender. Confidence intervals based on robust standard errors, clustered by entry institution.

A. Effects of Loan Limit Increases on Educational Attainment

Figure 4 previews our findings on the effects of raising loan limits on cumulative years of enrollment. We continue to estimate separate models by type of college at entry and examine effects on enrollment in four-year institutions (panel A) versus community colleges (panel B). Ten years after entry, constrained students who initially entered a four-year institution in 2007 and 2008 spent significantly more years enrolled in four-year institutions compared with students in earlier entry cohorts. Loan limit increases did not affect the number of years community college entrants spent in four-year institutions. Panel B shows that the increase in years of enrollment for constrained four-year entrants did not come at the expense of a reduction in community college attendance. However, the significant pre-trends in this outcome for community college entrants' enrollment suggest that we should view estimates for this group with caution.⁴⁸

Corresponding figures with year-by-year estimates of effects on enrollment can be found in online Appendix Figures C.5 (any public higher education institution), C.6 (four-year public institution), and C.7 (community college). The timing of enrollment effects aligns with the timing of loan limit increases. Specifically, constrained four-year entrants in the 2007 and 2008 cohorts—who saw their loan limits increase within one year of enrollment—were significantly more likely to reenroll one and two years after entry (panels A and B of online Appendix Figures C.5 and C.6). In contrast, 2006 entrants—who did not gain access to higher loan limits until three

⁴⁸ As discussed in Section IVF, when we exclude the 2001 and 2002 cohorts—the cohorts for which we see significant pre-trends—we continue to find significant increases in years of enrollment, cumulative credits attempted, and associate's degree receipt among community college entrants.